

FEDERAL MARITIME COMMISSION
Office of the Administrative Law Judges

BHATT INTERNATIONAL, INC., *Claimant*

v.

HAPAG-LLOYD AG, *Respondent*.

DOCKET NO. 1997(I)

Served: January 25, 2024

BEFORE: Theresa DIKE, *Small Claims Officer*.

NOTICE OF DISMISSAL

Bhatt International, Inc. (“Bhatt”) initiated this proceeding by filing a Claim against Hapag-Lloyd AG (“Hapag”) at the Federal Maritime Commission (“FMC” or “Commission”) alleging that Hapag violated 46 U.S.C. §§ 41102(c), 41102(d)(2)(B), and 41104(a)(8) of the Shipping Act in connection with the shipping of Bhatt’s cargo from the United States to overseas destinations, including India. On October 2, 2023, Hapag filed an Answer, raising affirmative defenses, including that the Commission lacks personal jurisdiction over Hapag. In addition, Hapag filed a motion to dismiss the Complaint, asserting that Claimant failed to join a necessary party; the Complaint is time barred; and the Commission lacks jurisdiction over this matter.

On October 24, 2023, a request for additional information and documents was issued to the parties, asking them to submit by November 7, 2023, certain information and documents pursuant to sections 502.304(a) and (e) of the Commission’s Rules of Practice and Procedures, which authorize the Small Claims Officer (“SCO”) to request additional documents or information from parties in small claims proceedings if deemed necessary. 46 C.F.R. §§ 502.304(a) and (e).

On November 6, 2023, Claimant submitted a “Notice of Settlement and Joint Motion for Extension on Deadlines to Submit Additional Information” (“Request for Extension”), in which it indicated that the parties had “settled the matter in principle” and requested a thirty-day extension of the deadline for the parties to submit the additional information and documents so as to “allow the preservation of the parties’ and this tribunal’s resources” while the parties worked towards finalizing their settlement. Request for Extension at 1-2. On December 7, 2023, the parties requested and were granted a second extension of time until January 5, 2024.

On January 5, 2024, the parties submitted a joint motion for approval of their settlement agreement (“Joint Motion”), together with a copy of the settlement agreement, requesting dismissal with prejudice of the Claim and confidentiality for their settlement agreement.

Pursuant to the Commission's Rule 72(a)(3):

[A]n action may be dismissed at the complainant's request only by order of the presiding officer, on terms the presiding officer considers proper. If the motion is based on a settlement by the parties, the settlement agreement must be submitted with the motion for determination as to whether the settlement appears to violate any law or policy and to ensure the settlement is free of fraud, duress, undue influence, mistake, or other defects which might make it unapprovable. Unless the order states otherwise, a dismissal under this paragraph is without prejudice.

46 C.F.R. § 502.72(a)(3). Although Rule 72, governing dismissal of Commission proceedings, is not applicable to Subpart S proceedings, the undersigned used the rule as guidance for ruling on Claimant's request to dismiss the Claim.

The Commission's Rules allow settlements by litigating parties but require that settlement agreements be submitted "for determination as to whether the settlement appears to violate any law or policy and to ensure the settlement is free of fraud, duress, undue influence, mistake, or other defects which might make it unapprovable." *Maier Terminals v. The Port Authority of N.Y. & N.J.*, 34 S.R.R. 322, 325 (FMC 2016). In reviewing settlement agreements, the Commission is guided by its "strong and consistent policy of encouraging settlements and engaging in every presumption which favors a finding that they are fair, correct, and valid." *Maier Terminals*, 34 S.R.R. at 326 (quoting *APM Terminals North America, Inc. v. Port Authority of N.Y. & N.J.*, 31 S.R.R. 623, 626 (FMC 2009)).

"While following these general principles, the Commission does not merely rubber stamp any proffered settlement, no matter how anxious the parties may be to terminate their litigation." *Old Ben Coal Co. v. Sea-Land Serv., Inc.*, 18 S.R.R. 1085, 1092 (ALJ 1978). However, if a "proffered settlement does not appear to violate any law or policy and is free of fraud duress, undue influence, mistake or other defect which might make it unapprovable despite the strong policy of the law encouraging approval of settlements, the settlement will probably pass muster and receive approval." *Id.* at 1093. "[I]f it is the considered judgment of the parties that whatever benefits might result from the vindication of their positions would be outweighed by the costs of continued litigation and if the settlement otherwise complies with law the Commission authorizes the settlement." *Delhi Petroleum Pty. Ltd. v. U.S. Atlantic & Gulf/Australia – New Zealand Conf. and Columbus Line, Inc.*, 24 S.R.R. 1129, 1134 (ALJ 1988).

The parties state that they "are sophisticated entities that engaged in arm's length negotiations" and that "the Settlement Agreement is a fair and reasonable resolution of the dispute . . . and reflects their mutual desire to resolve their issues without the need for costly litigation." Joint Motion at 3. A review of the settlement agreement, which is signed by all parties, does not show any indicia of fraud, duress, undue influence, or mistake, and appears to reflect an arm's-length resolution between the parties. The terms appear to be fair, reasonable, and adequate. Accordingly, the parties' settlement agreement is approved, and this proceeding dismissed with prejudice, as requested.

The parties request confidentiality for their settlement agreement¹ because, according to them, “the Settlement Agreement is the result of confidential commercial negotiations between the Parties.” Joint Motion at 3. “If parties wish to keep the terms of their settlement agreements confidential, the Commission, as well as the courts, have honored such requests.” *Al Kogan v. World Express Shipping, Transportation and Forwarding Services, Inc.*, 29 S.R.R. 68, 70 n.7 (ALJ 2000) (internal citations omitted); *Marine Dynamics v. R.T.M Line, Ltd.*, 27 S.R.R. 503, 504 (ALJ 1996); *International Association of NVOCCs v. Atlantic Container Line*, 25 S.R.R. 1607, 1609 (ALJ 1991). The parties’ request to keep the terms of their settlement agreement confidential is reasonable and thus granted.

Upon consideration of the proposed settlement, the parties’ joint motion to dismiss, and for the reasons stated above, it is hereby

ORDERED that the settlement agreement be **APPROVED**. It is

FURTHER ORDERED that the request for confidentiality be **GRANTED**. It is

FURTHER ORDERED that this proceeding be **DISMISSED WITH PREJUDICE**.

THERESA DIKE

Digitally signed by THERESA DIKE
Date: 2024.01.25 14:16:19 -05'00'

Theresa Dike
Small Claims Officer

¹ Pursuant to the Commission’s Rules regarding personally identifiable information, the parties redacted a small portion of the settlement agreement containing Claimant’s bank account information as required. *See* 46 C.F.R. § 502.13.